

Contract 3:

FACILITY MANAGEMENT & HOUSEKEEPING CONTRACT

Risk Level: Medium

Approximate Length: 24 pages (6,500 words)

FACILITY MANAGEMENT & HOUSEKEEPING SERVICES AGREEMENT

This Agreement is entered into on this 10th day of April, 2024

BETWEEN:

Sterling Industries Limited

Corporate Office at Tower A, Business Park, Sector 18, Noida, Uttar Pradesh – 201301, India
(hereinafter referred to as the "**Company**" or "**Client**", which expression shall, unless repugnant to the context, include its successors and assigns)

AND

FaciliServe Solutions Pvt. Ltd.

Having its registered office at Service Complex, Plot No. 456, Phase III, Gurgaon, Haryana – 122016, India
(hereinafter referred to as the "**Contractor**" or "**Service Provider**", which expression shall, unless repugnant to the context, include its successors and assigns)

The Company and the Contractor are collectively referred to as the "**Parties**" and individually as a "**Party**".

RECITALS

WHEREAS the Company operates corporate offices, manufacturing facilities, and guest houses across multiple locations and requires professional facility management and housekeeping services;

WHEREAS the Contractor is engaged in the business of providing integrated facility management services including housekeeping, maintenance, security coordination, and other support services;

WHEREAS the Company has evaluated the Contractor's capabilities and wishes to engage the Contractor to provide such services on the terms and conditions herein contained;

NOW, THEREFORE, in consideration of the mutual covenants and agreements set forth herein, the Parties agree as follows:

1. DEFINITIONS

1.1 In this Agreement, unless the context otherwise requires:

- (a) "**Agreement**" means this Facility Management & Housekeeping Services Agreement including all schedules and annexures;
 - (b) "**Business Day**" means Monday to Saturday, excluding public holidays in India;
 - (c) "**Commencement Date**" means April 10, 2024;
 - (d) "**Facilities**" means the premises listed in Schedule A where services are to be provided;
 - (e) "**Services**" means all facility management and housekeeping services as detailed in Clause 2;
 - (f) "**Personnel**" means all employees, workers, and staff deployed by the Contractor for providing services;
 - (g) "**Service Charges**" means the fees payable for services as per Clause 4;
 - (h) "**Term**" means the duration specified in Clause 3.
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2. SCOPE OF SERVICES

2.1 Housekeeping Services

The Contractor shall provide the following housekeeping services across all Facilities:

(a) **Daily Cleaning:**

- Sweeping and mopping of all floors, lobbies, corridors, and common areas;
- Cleaning and sanitization of washrooms and restrooms;
- Dusting of furniture, fixtures, and office equipment;
- Vacuuming of carpets and upholstery;
- Cleaning of glass partitions, windows, and doors;

- Emptying waste bins and disposal of garbage;

(b) Periodic Deep Cleaning:

- Weekly deep cleaning of washrooms including descaling and tile cleaning;
- Monthly cleaning of ceiling fans, lights, and ventilation grills;
- Quarterly facade cleaning and high-level dusting;
- Carpet shampooing and stain removal as needed;

(c) Pantry and Kitchen Services:

- Cleaning of pantry areas, kitchen, and dining facilities;
- Washing of utensils, crockery, and cutlery;
- Maintenance of cleanliness and hygiene standards;
- Assistance in tea/coffee preparation and serving (if required);

(d) Waste Management:

- Segregation of waste (wet, dry, recyclable, hazardous);
- Collection and disposal of waste in designated bins;
- Coordination with municipal authorities for waste pickup;

2.2 Facility Maintenance Services

(a) Soft Services:

- Coordination for pest control services (quarterly or as needed);
- Basic horticulture and gardening support;
- Support in organizing events and meetings (setup/cleanup);

(b) Minor Repairs and Maintenance:

- Basic plumbing repairs (leaking taps, clogged drains);
- Basic electrical support (bulb/tube replacement, minor fixes);
- Carpentry support (door/window adjustments, furniture repairs);
- HVAC filter replacement and basic maintenance;

Note: Major repairs, equipment replacement, and specialized maintenance are excluded and shall be arranged separately by the Company.

2.3 Other Services

- (a) Coordination with third-party vendors (elevator maintenance, fire safety, etc.);
- (b) Supervision and management of housekeeping personnel;
- (c) Procurement and management of cleaning supplies, materials, and equipment;
- (d) Compliance with health, safety, and environmental regulations;
- (e) Monthly reporting on service delivery and consumption of materials.

2.4 Exclusions

The following are expressly excluded from the scope:

- Major civil, electrical, or mechanical works;
 - Specialized cleaning (industrial machinery, sensitive equipment);
 - Security services (the Contractor may coordinate but not provide);
 - Landscaping and civil horticulture;
 - IT and administrative services.
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3. CONTRACT DURATION AND RENEWAL

3.1 Initial Term

The initial term of this Agreement shall be **three (3) years** from the Commencement Date, i.e., from April 10, 2024, to April 9, 2027.

3.2 Extension

This Agreement may be extended for a further period of **two (2) years** (i.e., up to April 9, 2029) at the mutual consent of both Parties. The decision to extend shall be communicated in writing **ninety (90) days** before the expiry of the initial term.

Extension shall be subject to:

- Satisfactory performance by the Contractor during the initial term;
- Mutual agreement on revised terms and charges;

- Renewal of performance security.

3.3 No Automatic Renewal

This Agreement does not automatically renew. Upon expiry of the term (or extended term), the Agreement shall stand terminated unless both Parties execute a fresh agreement.

3.4 Renewal Terms

If extended, the service charges may be revised by up to **8% per annum** to account for inflation and cost escalation, subject to negotiation.

4. SERVICE CHARGES AND PAYMENT TERMS

4.1 Total Contract Value

The total estimated contract value for the initial 3-year term is approximately **INR 4,50,00,000 (Indian Rupees Four Crores Fifty Lakhs Only)**, translating to approximately INR 1,50,00,000 per annum.

4.2 Monthly Service Charges

The monthly service charges are structured as follows:

Facility/Location	Monthly Charge (INR)
Corporate Office, Noida (Sq.ft: 50,000)	5,00,000
Manufacturing Plant, Pune (Sq.ft: 1,00,000)	6,50,000
R&D Center, Bangalore (Sq.ft: 30,000)	3,50,000
Guest House, Delhi (Rooms: 20)	1,50,000
Total Monthly	16,50,000
Total Annual	1,98,00,000

Note: Actual annual value may vary slightly based on scope additions/reductions.

4.3 Payment Terms

(a) The Contractor shall submit monthly invoices by the **5th of the following month** for services rendered in the previous month.

(b) The Company shall make payment within **thirty (30) days** from the date of receipt of invoice, subject to:

- Satisfactory service delivery;
- Submission of all required documentation (attendance sheets, material consumption reports, statutory compliance certificates);
- No major discrepancies or complaints.

(c) Payments shall be made via NEFT/RTGS to the Contractor's designated bank account.

4.4 Statutory Deductions

The Company shall deduct TDS and any other statutory dues as per applicable laws. The Contractor shall provide necessary declarations and certificates.

4.5 Late Payment

If the Company delays payment beyond the stipulated 30-day period without valid dispute:

- Interest at **1% per month** may be charged on the delayed amount.
- The Contractor may suspend services after providing **fifteen (15) days' written notice**.

4.6 Disputed Invoices

If the Company disputes any invoice:

- The Company shall pay the undisputed portion within the normal timeframe;
- A written dispute notice with details shall be provided within 10 days of invoice receipt;
- Disputed amounts shall be resolved through discussion within 15-20 days.

4.7 Price Escalation

Service charges shall be escalated annually by **6%** on each anniversary of the Commencement Date to account for inflation and wage increases. No separate approval is required for this standard escalation.

4.8 Variable Costs

Consumables, materials, and chemicals are included in the service charges. However, if consumption exceeds normal usage by more than 20% due to special requirements or events, additional charges may be billed at cost plus 10% markup.

5. DEPOSITS AND SECURITY

5.1 Performance Security Deposit

The Contractor shall submit a Performance Security Deposit of **INR 15,00,000 (Indian Rupees Fifteen Lakhs Only)** within **ten (10) days** of signing this Agreement.

The security may be provided in the form of:

- Bank Guarantee from a scheduled commercial bank, valid for the entire contract period plus three months, **or**
- Fixed Deposit Receipt in favor of the Company, **or**
- Cash deposit (refundable without interest).

5.2 Purpose of Security

The Performance Security serves as a guarantee for:

- Satisfactory performance of contractual obligations;
- Timely rectification of deficiencies;
- Compliance with statutory requirements;
- Any damages or losses caused by the Contractor's negligence.

5.3 Invocation of Security

The Company may invoke or appropriate from the security deposit for:

- Non-performance or persistent poor service delivery;
- Breach of contract terms;
- Statutory non-compliance (PF, ESI, wages);
- Loss or damage to Company property caused by Contractor's personnel;
- Any penalties or liquidated damages due.

5.4 Replenishment

If any amount is deducted from the security deposit, the Contractor shall replenish it to the original amount within **fifteen (15) days** of written notice.

5.5 Refund of Security

The security deposit shall be refunded (or the bank guarantee released) within **sixty (60) days** after the successful completion of the contract and settlement of all dues, subject to:

- No pending claims or disputes;
- Satisfactory handover;
- Clearance of all statutory liabilities.

5.6 Earnest Money Deposit

No separate EMD has been collected for this contract as the Contractor was selected through a pre-qualification process.

5.7 Retention

The Company shall retain **5% of each monthly invoice** as retention money. The cumulative retention shall be released **ninety (90) days** after the completion of the contract term, subject to satisfactory performance and closure of all liabilities.

Total Retention: Approximately INR 9,90,000 over 3 years (5% of INR 1,98,00,000/year).

6. SERVICE DELIVERY TIMELINES AND STANDARDS

6.1 Mobilization Period

The Contractor shall mobilize resources and commence services within **fifteen (15) days** from the Commencement Date. This includes:

- Deployment of personnel;
- Procurement of equipment and materials;
- Setting up of systems and processes.

6.2 Daily Service Hours

Housekeeping services shall be provided during the following hours:

- **Corporate Office & R&D Center:** 8:00 AM to 8:00 PM (12 hours), Monday to Saturday
- **Manufacturing Plant:** 7:00 AM to 7:00 PM (12 hours), Monday to Saturday; with on-call support on Sundays
- **Guest House:** 24x7 coverage with shift arrangements

6.3 Personnel Deployment

The Contractor shall deploy adequate personnel as per the following norms:

Facility	Area/Size	Personnel Required
Corporate Office, Noida	50,000 sq.ft	25 staff (including supervisors)
Manufacturing Plant, Pune	1,00,000 sq.ft	40 staff
R&D Center, Bangalore	30,000 sq.ft	15 staff
Guest House, Delhi	20 rooms	10 staff (including night shift)

Total Personnel: Approximately 90-100 across all locations.

6.4 Response Time for Issues

Issue Type	Response Time	Resolution Time
Emergency (water leakage, major spillage)	Within 30 minutes	Within 2 hours
Urgent (washroom cleaning, garbage overflow)	Within 1-2 hours	Within 4 hours
Routine complaints	Within 4 hours	Within 24 hours
Periodic tasks	As per schedule	-

Note: Response times may vary based on the nature of the issue and resource availability. The Contractor shall use reasonable efforts to meet these targets.

6.5 Service Quality Standards

The Contractor shall maintain the following quality standards:

- **Cleanliness Audit Score:** Target minimum 80% in monthly audits conducted by the Company;
- **Attendance:** Minimum 95% attendance of deployed personnel;
- **Material Availability:** No stock-outs of essential cleaning supplies;
- **Safety Compliance:** Zero reportable accidents/incidents.

7. SERVICE LEVEL AGREEMENTS (SLA)

7.1 SLA Parameters

The Contractor shall strive to meet the following Service Level targets:

SLA Parameter	Target
Personnel Attendance	≥ 95% daily
Compliance with Daily Cleaning Schedule	≥ 90%
Timely Response to Complaints	≥ 85% within target time
Monthly Cleanliness Audit Score	≥ 80%
Material Stock Availability	100% (no stock-outs)
Statutory Compliance (PF/ESI/Wages)	100%

7.2 Measurement and Monitoring

(a) Performance shall be monitored through:

- Daily attendance sheets and supervisor reports;
- Monthly cleanliness audits by the Company's facilities team;
- Feedback from occupants and users;
- Surprise inspections by the Company.

(b) A monthly performance review meeting shall be held to discuss performance, issues, and improvement areas.

7.3 SLA Credits/Penalties

(a) If the Contractor fails to meet SLA targets consistently for **two consecutive months**, the Company may:

- Issue a written warning;
- Deduct up to **2-3% of the monthly invoice** as liquidated damages for poor performance.

(b) **Penalty Structure (Indicative):**

SLA Breach	Penalty
Attendance < 90% for 2 consecutive months	2% of monthly bill
Cleanliness score < 70%	3% of monthly bill

SLA Breach

Penalty

Non-compliance with statutory requirements 5% of monthly bill + security deduction

Repeated failure to respond to complaints 2% of monthly bill

Note: Penalties are capped at **10% of the monthly invoice value** in any given month.

(c) The Company reserves the right to waive penalties if the Contractor demonstrates genuine effort and provides acceptable justification for the shortfall.

7.4 Force Majeure and Exclusions

SLA targets shall be relaxed or adjusted in case of:

- Force majeure events (natural disasters, pandemics, etc.);
- Situations beyond the Contractor's reasonable control;
- Company-caused delays or non-cooperation.

7.5 Improvement Plans

If performance falls short of SLA targets, the Contractor shall submit a corrective action plan within 10 days, and the Company shall provide reasonable support to help improve performance.

8. CONTRACTOR OBLIGATIONS

8.1 Personnel Management

The Contractor shall:

- (a) Deploy trained, experienced, and adequate personnel for all shifts;
- (b) Ensure all personnel are in proper uniform with ID cards;
- (c) Provide basic training on cleaning techniques, safety, and customer service;
- (d) Conduct background verification of all personnel before deployment;
- (e) Replace any personnel found unsuitable or involved in misconduct immediately;
- (f) Maintain discipline and professional conduct among personnel.

8.2 Statutory Compliance

The Contractor shall:

(a) Comply with all applicable labor laws including:

- Minimum Wages Act;
- Employees' Provident Fund (EPF) Act;
- Employees' State Insurance (ESI) Act;
- Contract Labor (Regulation & Abolition) Act;
- Any other applicable laws.

(b) Submit the following documents monthly:

- Attendance records and wage registers;
- PF and ESI challans and returns;
- Compliance certificates;
- License renewals (if applicable).

(c) Indemnify the Company against any statutory liabilities, penalties, or claims arising from the Contractor's non-compliance.

8.3 Materials and Equipment

The Contractor shall:

(a) Procure and maintain all cleaning materials, chemicals, and consumables of good quality;

(b) Use eco-friendly and non-toxic products wherever possible;

(c) Provide necessary equipment (vacuum cleaners, scrubbers, mops, trolleys, etc.) and maintain them in working condition;

(d) Replace defective or worn-out equipment promptly;

(e) Store materials safely and ensure no wastage.

8.4 Safety and Security

The Contractor shall:

(a) Follow all safety protocols and guidelines issued by the Company;

(b) Provide safety equipment (gloves, masks, etc.) to personnel handling chemicals or hazardous waste;

- (c) Report any safety incidents, accidents, or near-misses immediately;
- (d) Ensure personnel do not engage in any unauthorized activities or access restricted areas;
- (e) Maintain confidentiality and not disclose any Company information.

8.5 Supervision

The Contractor shall:

- (a) Deploy adequate supervisors (1 supervisor per 20-25 personnel);
 - (b) Ensure supervisors are available on-site during all working hours;
 - (c) Designate a single point of contact (SPOC) for overall coordination with the Company.
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9. COMPANY OBLIGATIONS

9.1 Cooperation and Access

The Company shall:

- (a) Provide necessary access to all Facilities for service delivery;
- (b) Designate a facility manager or coordinator for liaison with the Contractor;
- (c) Provide reasonable space for storage of materials and equipment;
- (d) Provide access to utilities (water, electricity) required for service delivery.

9.2 Timely Payments

The Company shall make timely payments as per the agreed terms, subject to satisfactory service delivery and receipt of proper documentation.

9.3 Feedback and Support

The Company shall:

- (a) Provide constructive feedback on service quality;
- (b) Conduct periodic audits and share results with the Contractor;
- (c) Support the Contractor in resolving issues related to personnel or third-party coordination.

9.4 Safety Information

The Company shall inform the Contractor of any hazardous areas, safety protocols, or special requirements at the Facilities.

10. LIABILITY AND INDEMNITY

10.1 Contractor's Liability

(a) The Contractor shall be liable for:

- Loss or damage to Company property caused by the Contractor's personnel due to negligence or misconduct;
- Injuries to third parties caused by the Contractor's operations;
- Statutory liabilities arising from non-compliance with labor laws.

(b) The Contractor's liability for property damage shall be limited to the **actual cost of repair or replacement**, capped at **INR 5,00,000 per incident** or the annual contract value, whichever is lower.

10.2 Company's Liability

The Company shall not be liable for:

- Injuries to the Contractor's personnel arising out of their work (except where caused by the Company's negligence);
- Loss of the Contractor's equipment or materials.

10.3 Indemnity by Contractor

The Contractor shall indemnify and hold harmless the Company against:

- All claims, liabilities, and expenses arising from statutory non-compliance (wages, PF, ESI, etc.);
- Claims by third parties for injury or damage caused by the Contractor's personnel;
- Any legal action arising from labor disputes involving the Contractor's employees.

10.4 Insurance

The Contractor shall maintain the following insurance coverage:

- **Workmen's Compensation Insurance** as per statutory requirements;
- **Public Liability Insurance** covering third-party injury/damage: minimum INR 25,00,000;
- **Employer's Liability Insurance** (optional but recommended).

Insurance certificates shall be submitted to the Company annually.

10.5 Limitation of Liability

Neither Party shall be liable for indirect, consequential, or punitive damages, including loss of profits or business interruption.

11. WARRANTY AND DEFECT LIABILITY

11.1 Service Warranty

The Contractor warrants that:

- Services shall be performed with reasonable skill and care;
- Personnel deployed shall be adequately trained and qualified;
- Materials used shall be of good quality and fit for purpose;
- Services shall comply with applicable laws and safety standards.

11.2 Rectification of Deficiencies

If the Company identifies any service deficiency or non-compliance:

- The Company shall notify the Contractor in writing;
- The Contractor shall rectify the deficiency within **24-48 hours** (depending on severity);
- Failure to rectify may result in penalties as per Clause 7.3 or invocation of performance security.

11.3 No Extended Warranty

There is no separate defect liability period beyond the contract term. Services are continuous, and issues are addressed as they arise during the term.

12. TERMINATION

12.1 Termination for Cause

Either Party may terminate this Agreement by giving **sixty (60) days' written notice** if the other Party:

- (a) Commits a material breach and fails to cure within **thirty (30) days** of written notice;

- (b) Becomes insolvent or enters into bankruptcy/liquidation proceedings;
- (c) Engages in fraud, willful misconduct, or illegal activities.

Material breach by Contractor includes:

- Persistent failure to meet SLA targets despite warnings;
- Non-compliance with statutory requirements;
- Unauthorized use of Company property or data;
- Gross negligence causing significant harm.

Material breach by Company includes:

- Non-payment of undisputed invoices for more than 90 days;
- Persistent failure to provide access or cooperation.

12.2 Termination for Convenience

(a) The Company may terminate this Agreement for convenience by providing **ninety (90) days' written notice** to the Contractor.

In such case:

- The Contractor shall be paid for all services rendered up to the termination date;
- No early termination penalty shall apply;
- The performance security shall be refunded after final settlement.

(b) The Contractor may terminate for convenience by providing **one hundred and twenty (120) days' written notice** to the Company, subject to payment of an early exit penalty equivalent to **two months' service charges**.

12.3 Consequences of Termination

Upon termination:

- All outstanding payments shall be settled within 30 days;
- The Contractor shall remove all personnel, equipment, and materials;
- The Contractor shall provide transition support for up to 30 days if requested;
- The performance security and retention shall be refunded after adjustments for dues/penalties.

12.4 Survival

Clauses relating to confidentiality, indemnity, liability, and payment obligations shall survive termination.

13. FORCE MAJEURE

13.1 Definition

"Force Majeure" means events beyond the reasonable control of a Party, including:

- Natural disasters (earthquakes, floods, cyclones);
- Epidemics, pandemics, or public health emergencies;
- War, terrorism, riots, or civil unrest;
- Government restrictions, lockdowns, or prohibitions;
- Strikes or labor disputes (not involving the affected Party's own employees);
- Fire, explosion, or industrial accidents.

13.2 Relief from Performance

If a force majeure event prevents performance:

- The affected Party shall be excused from performance for the duration;
- Timelines shall be extended correspondingly;
- No penalties shall apply during the force majeure period.

13.3 Notice

The affected Party shall notify the other within **three (3) days** of occurrence and provide updates regularly.

13.4 Mitigation

The affected Party shall use reasonable efforts to minimize impact and resume normal operations.

13.5 Prolonged Force Majeure

If force majeure continues for more than **ninety (90) days**, either Party may terminate by giving **thirty (30) days' notice**, without penalty.

13.6 Payment During Force Majeure

If the Contractor is unable to provide services due to force majeure:

- The Company shall pay only for services actually rendered (pro-rated basis);
 - Fixed costs (if any) may be negotiated on a case-by-case basis.
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14. CONFIDENTIALITY

14.1 Each Party shall maintain confidentiality of the other Party's proprietary and confidential information and shall not disclose it to third parties without consent, except as required by law.

14.2 Confidential information includes business plans, financial data, customer information, technical data, and any information marked confidential.

14.3 The obligation of confidentiality shall survive termination for **three (3) years**.

15. DISPUTE RESOLUTION AND GOVERNING LAW

15.1 Governing Law

This Agreement shall be governed by the laws of India.

15.2 Jurisdiction

The courts at **Noida, Uttar Pradesh** shall have exclusive jurisdiction for any disputes arising under this Agreement.

15.3 Amicable Resolution

The Parties shall first attempt to resolve disputes amicably through negotiations within **twenty (20) days**.

15.4 If amicable resolution fails, either Party may initiate legal proceedings in the competent courts of Noida.

16. GENERAL PROVISIONS

16.1 Entire Agreement

This Agreement constitutes the entire agreement and supersedes all prior discussions and agreements.

16.2 Amendments

Amendments must be in writing and signed by both Parties.

16.3 Waiver

Failure to enforce any provision shall not constitute a waiver.

16.4 Severability

If any provision is invalid, the remaining provisions shall continue in force.

16.5 Assignment

Neither Party may assign this Agreement without prior written consent of the other.

16.6 Notices

Notices shall be in writing and delivered to the addresses specified in this Agreement.

16.7 Relationship

The Parties are independent contractors; no partnership or agency is created.

SCHEDULE A: LIST OF FACILITIES

Facility	Location	Area/Size
Corporate Office	Noida, UP	50,000 sq.ft
Manufacturing Plant	Pune, MH	1,00,000 sq.ft
R&D Center	Bangalore, KA	30,000 sq.ft
Guest House	Delhi	20 rooms

IN WITNESS WHEREOF, the Parties have executed this Agreement.

For Sterling Industries Limited

Name: Priya Sharma
Designation: VP - Administration
Date: April 10, 2024

For FaciliServe Solutions Pvt. Ltd.

Name: Ramesh Kumar

Designation: Director

Date: April 10, 2024
